

# Referee Report for *Econometrica*

## “Necessity Entrepreneurship”

March 2026

### Recommendation

Reject.

The paper has a real and potentially important idea: entrepreneurship should not be treated as a single extensive-margin object when weak labor-market outside options can push households into low-scale business ownership. The distinction between nonemployer self-employment and employer entrepreneurship is useful, and the paper is clearly stronger now that it organizes the quantitative section around that split.

That said, I do not think the paper is close to the publication threshold for *Econometrica* in its current form. The central contribution is still too diffuse, the mapping from the structural object to observable data is too loose, and the quantitative claims remain under-identified relative to the amount of interpretation the paper wants to place on them. My view is therefore that the paper is promising, but not publishable here in its current version.

### Summary

The paper develops a quantitative occupational-choice model with search frictions, unemployment insurance, and two entrepreneurial margins: nonemployer self-employment and employer entrepreneurship. The key conceptual distinction is between “opportunity” entrepreneurs, who would choose entrepreneurship even with a viable wage-work option, and “necessity” entrepreneurs, who choose it only when that outside option is weak or unavailable. Quantitatively, lower unemployment insurance raises entrepreneurship primarily through self-employment, while removing worker unemployment risk reallocates activity toward employer firms and raises output. The paper also includes a recession-style exercise based on weaker labor-market prospects for low-education households.

The paper’s best feature is that it insists entrepreneurship is a compositional object. That is the right instinct and gives the project a more interesting economic question than a simple extensive-margin business-ownership exercise. However, the current manuscript does not yet convert

that insight into a sufficiently sharp and externally disciplined contribution for a general-interest economics journal.

## Major Comments

### 1. The paper still lacks one dominant question of general interest.

The manuscript currently tries to do several things at once: distinguish necessity from opportunity entrepreneurship, separate self-employment from employer firms, study unemployment insurance, study labor-market risk, and say something about recession dynamics. All of those are related, but the paper does not yet force the reader to carry away one central question and one central answer.

The strongest question seems to be something like: when weaker labor-market outside options raise business ownership, does entrepreneurship become more or less productive? If that is the real question, then the abstract, introduction, and quantitative section should be rewritten around it much more aggressively. At present the paper reads more like a broad research program than a tightly targeted *Econometrica* paper.

### 2. The empirical bridge to the structural object is too weak for the claims the paper wants to make.

The paper is right that necessity entrepreneurship is latent and not directly observed. But once that is conceded, the paper needs a much sharper statement of what empirical objects do and do not correspond to the model. The manuscript currently leans on several margins:

- nonemployer versus employer business counts,
- high-propensity business applications,
- GEM motive measures,
- recession composition facts.

These are all informative, but they are noisy and conceptually distinct. The paper does not yet establish a compelling observational bridge from these objects to the structural necessity-opportunity distinction. In the current version, the empirical section is best interpreted as motivation, not measurement. That is acceptable for some papers, but then the manuscript must be much more modest in how it describes the quantitative contribution.

For *Econometrica*, I would want either a much tighter empirical measurement argument, a clearer sufficient-statistics bridge, or a stronger demonstration that the structural object delivers new disciplined implications that are not already captured by reduced-form compositional margins.

### 3. The quantitative interpretation is not yet disciplined enough.

The manuscript moves among several distinct outcome objects:

- entrepreneur share,
- self-employed share among entrepreneurs,
- average entrepreneur size,
- output per household,
- output per entrepreneur,
- occasional language suggestive of efficiency or misallocation.

These objects are not interchangeable. The current draft is better than earlier versions, but it still does not fully settle what the paper’s welfare or efficiency claim is. If the paper wants to talk about misallocation or efficiency, then it needs either a welfare object or a more explicit allocation criterion. If instead the contribution is about output and composition, the paper should say that clearly and stop drifting into broader efficiency language.

This matters because the headline result is subtle: lower unemployment insurance raises entrepreneurship but reduces scale and output. That is interesting. But the manuscript weakens the point by allowing the interpretation to slide between “more necessity entry,” “more misallocation,” and “worse aggregate outcomes” without fully distinguishing them.

#### **4. The policy decomposition remains incomplete.**

The unemployment-insurance experiments still combine at least two channels:

- the labor-market outside-option channel,
- the fiscal-closure channel through taxes and transfers.

The draft is aware of this issue, but the interpretation still does not isolate the mechanism cleanly enough. The fixed-tax comparison is therefore not a minor robustness check. It is central to the paper’s interpretation of the no-UI and low-UI counterfactuals. Without a clean separation of these channels, the reader cannot tell how much of the result reflects necessity entry per se and how much reflects the fiscal consequences of changing the insurance system.

I would not be comfortable with publication in a journal of this level until the paper treats this decomposition as part of the core evidence rather than as appendix support.

#### **5. The new self-employment calibration is more plausible than before, but the identification of the new parameters is still not persuasive enough.**

The revised benchmark is clearly better: closure risk, capital loss on failure, and an employer-threshold cost give the model a more credible distinction between self-employment and employer entrepreneurship. But the paper still does not give the reader a sufficiently transparent parameter-to-moment mapping for the key new objects. In particular, the manuscript needs a much clearer account of how the following are pinned down:

- entrepreneur closure risk by education,
- capital loss on closure,
- the employer-threshold fixed cost,
- the self-employed versus employer composition target.

At the moment the calibration section reads as broadly reasonable, but not yet fully convincing. For an Econometrica audience, it is not enough that the choices feel sensible; the paper needs to distinguish much more clearly between externally disciplined values, moment-matching parameters, and benchmark choices used to close under-identified objects.

## **6. The recession exercise is not yet publication-ready.**

The paper wants the recession section to show that weaker outside options shift activity toward smaller-scale businesses. Conceptually that is a good extension. But in the current manuscript, the recession object is still too unstable and too weakly mapped to actual recession conditions.

Most importantly, the paper itself notes that a simple productivity MIT shock is not the right object. That is correct. But the replacement recession exercise also remains problematic, because the labor-market tightness response is not cleanly recession-like, and the transition interpretation still appears to rely on a partially ad hoc mapping from separation risk to recession conditions.

In other words, the current recession section does not yet read like a decisive quantitative result. It reads like an extension that is still under construction. For this reason, I would either sharply narrow the claim or remove the section from the main text until the recession mapping is much more convincing.

## **7. The paper remains too cluttered for a top general-interest submission.**

The manuscript is strongest when it focuses on four disciplined margins:

- total entrepreneurship,
- self-employed share among entrepreneurs,
- average entrepreneurial scale,
- aggregate output.

It is weaker when the main text becomes crowded with large by-education tables, cutoff details, and multiple partially overlapping quantitative objects. Those materials are useful for development and for appendices, but the current draft still feels like it is trying to show the reader every supporting object at once. That is not how papers at this level are usually packaged.

The main text needs much more selectivity. Right now the manuscript often reads as though it is proving seriousness by showing more objects, when in fact it would be stronger if it showed fewer objects and interpreted them more sharply.

## Minor Comments

1. The paper's external presentation still needs substantial polishing. Although the draft is much cleaner than before, the manuscript does not yet read like a finished top-journal submission. The prose is often serviceable rather than sharp, some sections still have note-like transitions, and the paper would benefit from a substantial editorial pass.
2. The calibration table and related text should state more explicitly which rows are benchmark parameter values and which are equilibrium outcomes. This is especially important for taxes and other fiscal objects.
3. The manuscript should be more explicit about what the benchmark business type split is intended to match in the data. If the paper is going to distinguish self-employed nonemployers from employer firms, the empirical target for that split should be stated clearly and repeatedly.
4. The paper should decide whether it is primarily about occupational choice, entrepreneurial composition, or insurance design. My read is that the best version is a paper about entrepreneurial composition under changing outside options. That focus should discipline both the introduction and the conclusion.

## Overall Assessment

This is not a weak paper. It contains a legitimate idea, and the distinction between lower-scale self-employment and employer entrepreneurship is a genuine improvement over more aggregated entrepreneurship exercises. I can also see a path by which the project becomes a strong paper.

But I do not think that path leads to *Econometrica* in its current form. The paper would need a much sharper statement of the contribution, a much more disciplined empirical bridge, cleaner quantitative identification, and a more convincing treatment of the recession and policy decompositions. My bottom-line assessment is therefore:

- promising project,
- materially improved relative to earlier drafts,
- not publishable at *Econometrica* in its current state.

My guess is that with substantial refocusing and a cleaner empirical bridge, this project could become a good field-journal paper and possibly stronger than that if the authors can convert the necessity-opportunity distinction into a much more sharply testable quantitative claim.

## Most Important Revisions

If the authors continue developing the paper, I would prioritize the following:

1. Rewrite the abstract and opening introduction around one question and one answer.
2. Tighten the empirical bridge and explicitly distinguish measurement from motivation.
3. Make the fixed-tax versus endogenous-tax decomposition central to the policy interpretation.
4. Simplify the main text and move more quantitative detail to appendices.
5. Clarify the calibration mapping from moments to the new self-employment parameters.
6. Either sharpen the recession exercise substantially or demote it to a more limited robustness role.